



Emerald Emerging Markets Case Studies

Leasing or borrowing and buying decision: a case study of Bright Soap
Muhammad Akhtar Najeeb Zada Irfan Ahmad Nazim Zaman

Article information:

To cite this document:

Muhammad Akhtar Najeeb Zada Irfan Ahmad Nazim Zaman , (2015), "Leasing or borrowing and buying decision: a case study of Bright Soap", Emerald Emerging Markets Case Studies, Vol. 5 Iss 2 pp. 1 - 10

Permanent link to this document:

<http://dx.doi.org/10.1108/EEMCS-01-2014-0025>

Downloaded on: 02 May 2015, At: 09:18 (PT)

References: this document contains references to 0 other documents.

To copy this document: permissions@emeraldinsight.com

The fulltext of this document has been downloaded 3 times since 2015*

Access to this document was granted through an Emerald subscription provided by

Token:CaseStudyAuthor:4A361A18-7000-46F4-B878-E5B99A3B66E9:

For Authors

If you would like to write for this, or any other Emerald publication, then please use our Emerald for Authors service information about how to choose which publication to write for and submission guidelines are available for all. Please visit www.emeraldinsight.com/authors for more information.

About Emerald www.emeraldinsight.com

Emerald is a global publisher linking research and practice to the benefit of society. The company manages a portfolio of more than 290 journals and over 2,350 books and book series volumes, as well as providing an extensive range of online products and additional customer resources and services.

Emerald is both COUNTER 4 and TRANSFER compliant. The organization is a partner of the Committee on Publication Ethics (COPE) and also works with Portico and the LOCKSS initiative for digital archive preservation.

*Related content and download information correct at time of download.

Leasing or borrowing and buying decision: a case study of Bright Soap

Muhammad Akhtar, Najeeb Zada, Irfan Ahmad and Nazim Zaman

Muhammad Akhtar is an Assistant Professor and is based at Riphah International University, Islamabad, Pakistan. Najeeb Zada is based at University of Peshawar, Peshawar, Pakistan. Irfan Ahmad and Nazim Zaman both are based at Riphah International University, Islamabad, Pakistan.

This case looks at the challenges faced by indigenous small and medium-sized enterprises in Pakistan since the 1990s in the face of the tremendous competition introduced by the entry into the multinational corporations market. It touches upon the issues of globalization, financial decision-making, marketing and accounting. The case of Bright Soap is representative of the plight of small, traditional industries in emerging economies in the face of the forces of globalization.

Bright Soap has been a prominent, but small-scale, soap manufacturer in the Punjab Province of Pakistan for the past 30 years. It has a good reputation and substantial shares in the local and regional soap markets. The company has been able to retain a prominent place among its counterparts by following international standards appropriate to its level of operations. The raw material used in the production process is mostly available locally, which is a further advantage in the manufacturing process. The raw materials or ingredients used by the company include fats, silicate, cooking oil, caustic soda and water. Fats are locally available thanks to the religious zeal of the population. Being a country that is more than 95 per cent Muslim, every year the religious ritual of animal slaughtering is observed by the people on the occasion of Eid-ul-Azha when millions of animals are sacrificed and this leads to the availability of fats in the market for the whole year. Caustic soda and silicate are also found domestically and their availability is easily guaranteed. Perhaps the only exception is cooking oil, which is imported from abroad and, thus, costs a significant amount. Bright Soap has been enjoying success in the soap market for its low prices, good cleaning qualities and reputation for removing stains with odorless quality.

Manufacturing process

Bright Soap uses a traditional manufacturing process that relies on a few simple and locally available ingredients and a method that is not technology-intensive. A certain proportion of the ingredients mentioned above are mixed in a large boiler. This boiler contains a motor with sharp blades inside it which helps mix the ingredients. Once the ingredients are fully mixed, this mixture is cooked for approximately 3 to 4 hours. As a result, the whole substance turns into a form of soup and then poured into 3 by 2 feet iron containers. At this point, appropriate time is given to let the soup cool when the water descends toward the bottom of the containers and the soap is consolidated at the top. It is a time-consuming task and takes between 12 and 14 hours. This soap is then shifted from the manufacturing department to the packaging department, where the raw soap undergoes the process of being cut into proper shapes and sizes. At the last stage, the bars of soap are brought to the monogram machine which embosses the monogram of Bright Soap with all the relevant details. Now it is the time for the packaging and each pack usually contains four bars and weighs approximately 1,000 grams. These packs are parceled into cartons, which are then supplied in the market according to orders.



This case study is published in partnership with the Asian Society of Management and Marketing Research (ASMMR) as part of the 2014 ASMMR – Emerald EEMCS Teaching Case Competition.

Disclaimer. This case is written solely for educational purposes and is not intended to represent successful or unsuccessful managerial decision making. The author/s may have disguised names; financial and other recognizable information to protect confidentiality.

The process of manufacturing bars of washing soap is not technology-intensive and has been the same for many years in Pakistan. Even very small firms can produce soap traditionally and even in rural settings. This has meant that the traditional washing soap industry has been able to sustain itself in Pakistan for many years and Bright Soap has been particularly good at this.

Market environment

The introduction of powder detergents in the market has posed a real threat to the soap industry of Pakistan. After the introduction of powder detergent by Unilever in the 1960s in the form of their product Surf (which has since become a generic name for detergent powder in Pakistan), there has been a slow but steady increase in the number of offerings available in powder form. These new powder detergents have been introduced largely by the mega multinationals, such as Unilever, Procter & Gamble and Colgate-Palmolive, and have been aimed at various segments of the market from upper middle-class consumers (Surf Excel and Ariel) to the less well-off consumers and those in rural settings (Express and Bonus). The result of this market change has been the shifting of consumer preferences from soap to powder and consequently the squeezing of traditional soap manufacturers' share of the market.

This shift of the consumers from soap to powder detergents has been observed on a very large scale and has several factors contributing to it. Firstly, the tremendous effect of the media on the public can easily influence the buying behavior of the consumers. The strong financial position of the multinational companies allows them to invest large amounts on promotion and advertisements on television, which reach every household. As a result, the customers, on a daily basis, see how powder detergents are much better than soap through various channels of the media. Furthermore, due to the considerable logistics capabilities of the multinationals, powder detergent of different brands is available at a very low cost at every large and small outlet throughout the country. The powder detergent industry has added value to its product by offering it from a 5 rupees minimum to 500 rupees maximum price. It is easy to use, causes no harm to hands and skin and has been recommended by textile experts and washing machine manufacturers at the request of the multinationals. These factors have been exploited by multinationals and have caused a rapid decline in the use of soap. One can easily envisage how critical this situation is for the soap industry of Pakistan.

Powder detergent in Pakistan is available in all varieties such as homemade, unbranded, local brands and international brands such as Unilever, Procter & Gamble and Colgate-Palmolive. The figures show that during the 1980s and 1990s, soap was primarily used for laundering; however, powder detergent's performance is better over the broad range of water hardness levels (Gallup Survey, 1999) and, as a result, in Pakistan, consumers are switching from soap to powder detergents. Table I shows the shift in the market shares of soap-based washing to powder detergent-based washing. (Tables II-IV).

Strategic financial decision

Bright Soap is facing the immense challenge posed by the detergent powders. Globalization has meant that powerful multinationals have brought their wealth, technology, expertise, global resources and financial might and now dominate the once local and traditional market of Pakistan by introducing fierce competition into the detergents market and targeting the traditional soap-using market by offering cheaper versions of their powder products. One of the biggest challenges faced by Bright Soap is to maintain its market share and to stay in the detergents market. Two strategies are available to the company to help achieve their goal:

1. In response to the consumer trends, it can shift the production line from soaps to powder detergents.
2. The company may choose to reduce product prices to retain the lower end of the market.

Table I Comparative data 1981-1999

	Per cent of respondents	
	1999 (%)	1981 (%)
<i>For cotton clothes</i>		
Soap	46	61
Powder	42	9
Both	12	27
No response	-	3
<i>For silken clothes</i>		
Soap	9	30
Powder	84	41
Both	5	22
No response	2	7
<i>For woolen clothes</i>		
Soap	16	24
Powder	77	49
Both	5	15
No response	2	12

Source: Gallup Survey Pakistan (1999)

Table II Showing the leading brands in powder detergents

Serial No.	Product name (company name)
1	Surf Excel (Unilever)
2	Ariel (Proctor & Gamble)
3	Express Powder (Colgate-Palmolive)
4	Brite (Colgate-Palmolive)
5	Bonus (Colgate-Palmolive)

Source: Gallup Survey Pakistan (1999)

Table III Showing the comparative price point with unit volume

Product name	Size (KG)	Price (\$)*	Size	Price (\$)*
Surf Excel	1	1.77	500	0.90
Ariel	1	1.81	500	0.91
Express Powder	1	1.22	400	0.58
Brite	1	1.47	500	0.73
Bonus	1	0.90	500	0.44

Note: *The rupees value has been converted into dollars @ 98.78 per dollar

Source: www.gallup.com.pk

Table IV Showing the market share of leading brands in Pakistan

Product name	Market share (%)
Surf Excel	38
Ariel	26
Express Powder	7
Brite	11
Bonus	18

Source: www.gallup.com.pk

First strategy

The owners of Bright Soap realize that, if they are to start producing powder detergent, they must invest in new technology in the form of machinery, as their current basic soap-making process is unsuitable and outdated. The estimated minimum cost of the required machinery is \$2,500,000 and the Chief Executive Officer (CEO) has asked the firm's accountant to look into how such finance can be arranged. The accountant visited a local bank to discuss financing possibilities and the bank proposed two options for financing. The first was to borrow the amount necessary to purchase the machinery that the company would have to pay back the loan in five equal installments. The second option was to lease the machinery, and in this case, they would again be required to make five lease payments. Therefore, the company could go either for a borrowing and buying decision or for the leasing option. The terms and conditions linked with each option are stated separately in the following paragraphs.

Borrowing and buying option

The mixing and packing machinery would cost \$2,500,000 and the machinery was subject to the straight line method of depreciation with no residual value and with the useful life of the machinery estimated to be five years. Bright Soap could obtain a loan of \$2,500,000 at 14 per cent interest payable in equal installments due at the beginning of each year at a tax rate of 30 per cent.

Leasing option

In case borrowing was not available, the second option was leasing. The terms and conditions for this was as following: renting the machinery was to be \$550,000 per year and had to be paid in advance each year for five years again at a tax rate of 30 per cent. A tax shield could also be made available to Bright Soap in the case of the lease option as well.

Second strategy

The second possible strategy was to reduce the price of its current products to such a degree that they remained in the market in some way. Although powder detergents dominated the urban and suburban sectors where washing machines are commonly used, the majority of Pakistan's population lived in rural settings where soap bars are still used for washing clothes and income levels are very low.

Required

- Evaluate the different options and give your recommendations to the CEO of the company as though you were the accountant for Bright Soap.
- What other theory or frameworks, such as the theory of diversification, can help to resolve the problem?
- Suggest to the CEO what types of lease options, if any, are available for the current situation.
- Provide guidance to the accounting department for the disclosure requirements in the financial statements according to IAS 17.
- If possible, suggest a marketing strategy for the improvement of the situation.
- Give your suggestions regarding lowering the price of the existing products to retain market share.
- Could a lay-off policy for the laborers to cut the cost be an appropriate solution?

Keywords:

Globalization,
Leasing,
Marketing,
New product development,
Borrowing and buying

Exhibit 1

Table EI The list of ingredients used in the manufacturing of soap

Serial No.	Description
1	Animal Fat
2	Silicate
3	Cooking Oil
4	Caustic Soda
5	Water

Source: Company reports

Exhibit 2

Table EII The list of machinery presently installed and its estimated cost

Serial No.	Description	Cost of machinery (\$)
1	Boilers	1,350,000
2	Mixing blades	145,000
3	Monogram machine	95,000
4	Soap bar cutting machine	25,000
5	Soap containers	1,175,000
Total Assets		2,790,000

Source: Company reports

Corresponding author

Muhammad Akhtar can be contacted at: Muhammad.Akhtar@riphah.edu.pk

Abstract

Title – Leasing or borrowing and buying decision: a case study of Bright Soap.

Subject area – Accounting, Finance, Human Resource Management and Marketing.

Study level/applicability – BBA, MBA, MS, PHD.

Case overview – Leasing or borrowing and buy decisions are very crucial in the industrial era. Every company does not possess sufficient resources to meet their investing needs. The leasing options have provided a decent way to congregate fixed assets requirements in manufacturing industry. This case mainly focuses on the dynamics of business survival.

Expected learning outcomes – To be able to evaluate the different financial and marketing options available with the company. Understand the relevance of the theory of diversification as applied to financial and production aspects; be able to evaluate the leasing, borrowing and buying options that are available in financing of fixed assets; understand the disclosure requirements in the financial statements according to International Accounting Standards (17); be able to evaluate marketing strategies including pricing options, product diversification, reaction to competition and innovation; and consider human resource policy decisions at times of change including cost-cutting measures.

Supplementary materials – Teaching Notes are available for educators only. Please contact your library to gain login details or email support@emeraldinsight.com to request teaching notes.

Subject code – CSS 1: Accounting and Finance